Week 57 -- Research Report (2026-10-12)

The first report under the 2026-10-11 rule set, and the first in which the **screener lane is closed**. The catalyst lane was the only route to a position. All four qualifying categories were searched and none produced a candidate -- that is this week's finding, and the categories and dates are below so it can be checked rather than taken on trust.

1. Scoreboard

Metric	Value	Note
Gap vs S&P-equivalent, since re-base (2026-09-11)	?4.21% (?$31.50: $716.82 vs $748.32)	the scoreboard
Gap vs S&P-equivalent, since inception (2025-09-19)	?8.57% (?$67.22: $716.82 vs $784.04)	context only; TWR alpha ?3.84%
Current drawdown from peak	?2.71%	clear -- DE-RISK at ?20%, CASH at ?30%
Regime	RISK-OFF, IWM ?4.27% vs its 50-day ($278.94 vs $291.38)	29 sessions, since 2026-08-31
Equity · cash · deployable above the 5% floor	$716.82 · $605.25 (84.4%) · $569.41 (79.4%)	floor $35.84 -- cut from 15% on 10/11
Buys sought · stage-1 checks	3 · 15	from <research_trigger>
Lanes	catalyst 0/3 · screener 1/0 -- CLOSED	CON grandfathered

The gap is ?4.21% and 84% of the book is cash, so the scoreboard now moves almost inversely to the index: it widens on up weeks and narrows on down ones, independent of anything the holding does. That is the cost of an empty book, and it is the reason the catalyst lane matters more than any single candidate would.

2. Deployment -- the research funnel

Capacity: the catalyst lane only. SCREENER_CAP["RISK-OFF"] = 0 since 2026-10-11, so the screener lane is shut and a screener-sourced buy would be a rule violation. Three catalyst slots are open at the full 2% risk budget ($14.34), with no defensive-profile test -- that profile no longer exists. CON is grandfathered: capacity gates govern new capital, not holdings.

Blackout: ATRC (4 sessions left) and HOPE (2) were excluded from the draw rather than spending quick checks on them.

Stage 0 -- catalyst sourcing

Not a quota this week but the whole report. Every qualifying category in portfolio_rules.md was searched. A qualifying catalyst is a resolved fact with a dated earnings impact, as distinct from the prohibited binary case -- an unresolved event with a dated announcement.

Category	Searched	Result
S&P DJI / FTSE Russell index events	S&P DJI press archive, read directly	Empty. Newest release is 2026-10-05 (Freshworks). All three October adds are pas
Raised guide with the next print dated	Guidance-raise announcements, October 2026	2 found, both killed -- see below
Dated contract or backlog conversion	Contract awards, October 2026	Empty, and the names that surface are prohibited
Spin-off or refinancing with an announced date	Spin-off record and distribution dates, Q4 2026	Empty. The one live timeline completed 2026-10-08

Stage 1 -- the five names examined

#	Ticker	Source	Catalyst	Result
1	ZIM	catalyst:guidance-raise	FY26 adj. EBITDA guide raised to $2.7-3.0Bn, 2026-10-06	PASS · prohibited
2	NNBR	catalyst:guidance-raise	FY26 sales and EBITDA raised 2026-09-22, next print 10/28	PASS · negative-earnings
3	WK	catalyst:index	Joined S&P SmallCap 600, effective 2026-10-06	PASS · effective date passed
4	FRSH	catalyst:index	Joined S&P SmallCap 600, effective 2026-10-08	PASS · effective date passed
5	TORO	catalyst:spin-off	AI OKTO LPG-carrier spin-off, distributed ~2026-10-08	PASS · completed

Why each failed:

- ZIM -- raised FY26 guidance on 10/06, a textbook resolved-fact catalyst. **ZIM Integrated Shipping is Israeli-affiliated, so it is killed at the prohibited-business check before any other gate is applied.** This is the second week running that the exclusion has removed an otherwise qualifying name -- PLX was the first, and the same lesson applies: neither was catchable from an industry label.
- NNBR -- the only name that cleared the hard gates. Guidance raised 2026-09-22, next print 2026-10-28, which is 12 sessions out and so clears the 10-session guard; revenue +5.1%; market cap $370M. It fails on quality: TTM net income ?$47.92M, EPS ?$0.96, beta 2.66. A lossmaking micro-cap at nearly three times market beta is not what the catalyst lane is for, and a Strong Buy with a +68.9% target does not change that.
- WK and FRSH -- both genuinely joined the S&P SmallCap 600, on 10/06 and 10/08. **An index add counts only before its effective date.** That rule exists because ATRC ran +12.8% into its 2026-09-21 inclusion and then gave back 11.8% in the nine sessions after it. Buying either now would be buying the giveback.
- TORO -- the AI OKTO spin-off had a live timeline a fortnight ago: record date 10/01, distribution on or about 10/08. It has completed, so there is no dated forward catalyst left.

Research log: 5 names logged (2026-10-12, week 57), all --source "catalyst:<category>": prohibited 1, negative-earnings 1, weak-catalyst 3. **research_log.csv now holds 45 rows across weeks 54-57 -- and for the first time, 5 of them are catalyst-sourced rather than screener-sourced.** No lane-closed rows were written, because no quote-page fetches were spent on screener names once the lane was known to be shut.

Stage 2 -- full research

None. No catalyst candidate survived stage 1. The No Candidates Rule applies: hold cash and explain why.

The honest shape of this week's failure matters. Two of the five were disqualified by timing -- index adds whose effective dates had passed -- and one by the prohibited-business rule. Only one name, NNBR, failed on its own merits. So the catalyst lane was not short of events; it was short of events that were still ahead of us and attached to a company this book will own. That is a different problem from "the screen produced nothing", and it suggests the lane will produce candidates when the December index announcement lands, if not before.

3. Exact orders

No orders. No candidate cleared, and the only open lane is the catalyst lane.

Explicitly withdrawn: the CON stop raise to $35.36 / $35.21 recommended on 2026-10-11. It was justified solely by the 2.0xATR tests passing, which the 10-11 rule set now names as insufficient. CON's stop stays at $34.49 / $34.34. See section 4.

Cash: unchanged at $605.25 (84.4% of equity), $569.41 deployable above the 5% floor.

4. Holdings -- by exception

Ticker	Shares	Price	P&L	Stop (room in ATR)	Sessions held	Primary driver	Status
CON	3	$37.19	+5.3% (+$5.64)	$34.49 / $34.34 (2.95xATR)	15	U.S. hiring -> occupational-health visit volumes	FULL -- ran up; stop held, no add

CON -- flagged FULL because it has run, not because anything is wrong. The script's wording changed on 10/11 and now reads *"ran up -- stop 2.9xATR behind; raise ELIGIBLE to ~$35.36 but default is HOLD (needs a written thesis change)."* That is the right flag to act on: check the thesis and the add case, not the raise.

Thesis: intact and better than at entry. Revenue +14.0% TTM, EPS $1.53 (+29.4%), net income +33.1%, forward PE 21.6, beta 0.63. Strong Buy with a $41.00 target, now +10.25% above the price after a 5.3% run. The company raised FY26 guidance at its Q2 print (revenue $606.0M, +10.0%; net income $67.3M, +45.7%). Driver: U.S. hiring, which sets pre-placement and workers-comp visit volumes. Earnings 2026-11-05, 16 sessions out.

News check: one item since the last report -- a 2026-10-08 investor-conference notice. Immaterial.

No stop raise. The 2.0xATR candidate is $35.36 and the tests pass, and that is not sufficient. Nothing has changed about the thesis that would justify the exception: the company has not re-guided, no analyst has moved, and a 5.3% advance on 1.0x volume is the position working as underwritten. The measured cost of raising whenever eligible is 10.3pp of test return, a 98% stop-out rate and an average hold of 14 sessions against 57. Stop stays $34.49 / $34.34, risk $2.46 = 0.34% of equity.

No add, and the reason is the lane, not the name. CON is screener-sourced, and that lane is closed in RISK-OFF. Grandfathering covers holding the position, not putting new capital into it -- an add is new capital. Worth recording because the arithmetic now permits what the rule forbids: with fractional shares and a 5% floor, the 2% risk budget against a $2.70 stop distance would support roughly 5.3 more shares inside the 30% ceiling. The lane closure is what stops it.

5. Risk checks after proposed trades

Check	Rule	Result
Position size	<=30% of equity each	PASS -- CON 15.6% against a $215.05 ceiling
Risk per trade	<=2% of equity at the stop	PASS -- $2.46 = 0.34%
Cash floor	>=5% of equity	PASS -- $605.25 = 84.4% against a $35.84 floor
Driver cap	<=2 positions per primary driver	PASS -- one holding
Sector cap	<=3 per GICS sector -- apply greedily	PASS -- Health Care 1

Position count	ceiling 10	PASS -- 1
Slippage	<=10% of average daily dollar volume	N/A -- no orders
Regime capacity	RISK-OFF: catalyst 3 slots at 2%; screener lane closed	PASS -- no new entries; no screener buy proposed
Stop policy	default is DO NOT RAISE; an exception must name a thesis change	PASS -- raise eligible and declined, in writing
Circuit breaker	current drawdown vs ?20% / ?30%	PASS -- ?2.71%
Exclusions	prohibited business, binary thesis, earnings inside 10 sessions, <blackout>	PASS -- ZIM killed as prohibited; ATRC and HOPE excluded by blackout

Every applicable row reads PASS.

6. Thesis summary

CON (Concentra) -- HOLD | Conviction 3/5
3 shares at $37.19, +5.3% from a $35.31 entry, 15 sessions, 15.6% of equity. Driver: U.S. hiring -> occupational-health visit volumes. Revenue +14.0%, EPS +29.4%, forward PE 21.6, beta 0.63; Strong Buy at $41.00 (+10.3%); earnings 2026-11-05. Stop stays $34.49 / $34.34 at 2.95xATR, risk 0.34% of equity. A raise to $35.36 is eligible and declined: the tests passing is not a reason, and nothing about the thesis has changed. No add -- CON is screener-sourced and that lane is closed in RISK-OFF; grandfathering covers holding, not new capital. **What would change the view:** two weak payroll prints, visit volumes lagging headline hiring, or the 11/05 print re-guiding down.

Portfolio. One position, 84% cash, third consecutive no-buy week -- but for a different reason than the previous two. Weeks 55 and 56 were blocked by a defensive profile that has since been removed; this week the catalyst lane was genuinely open and **produced no candidate that was both still ahead of us and ownable**. Three of the five names examined failed on timing or exclusion rather than quality. Before the next report: the December S&P rebalance announcement is the next scheduled source of index catalysts, roughly early December, and is worth watching for from late November; blackouts expire this week (HOPE ~10/13, ATRC ~10/15), returning two researched names to the eligible set; and the mid-October earnings squeeze now blocks most of the screen anyway, so the catalyst lane stays the only realistic route until the regime turns.

Sources

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